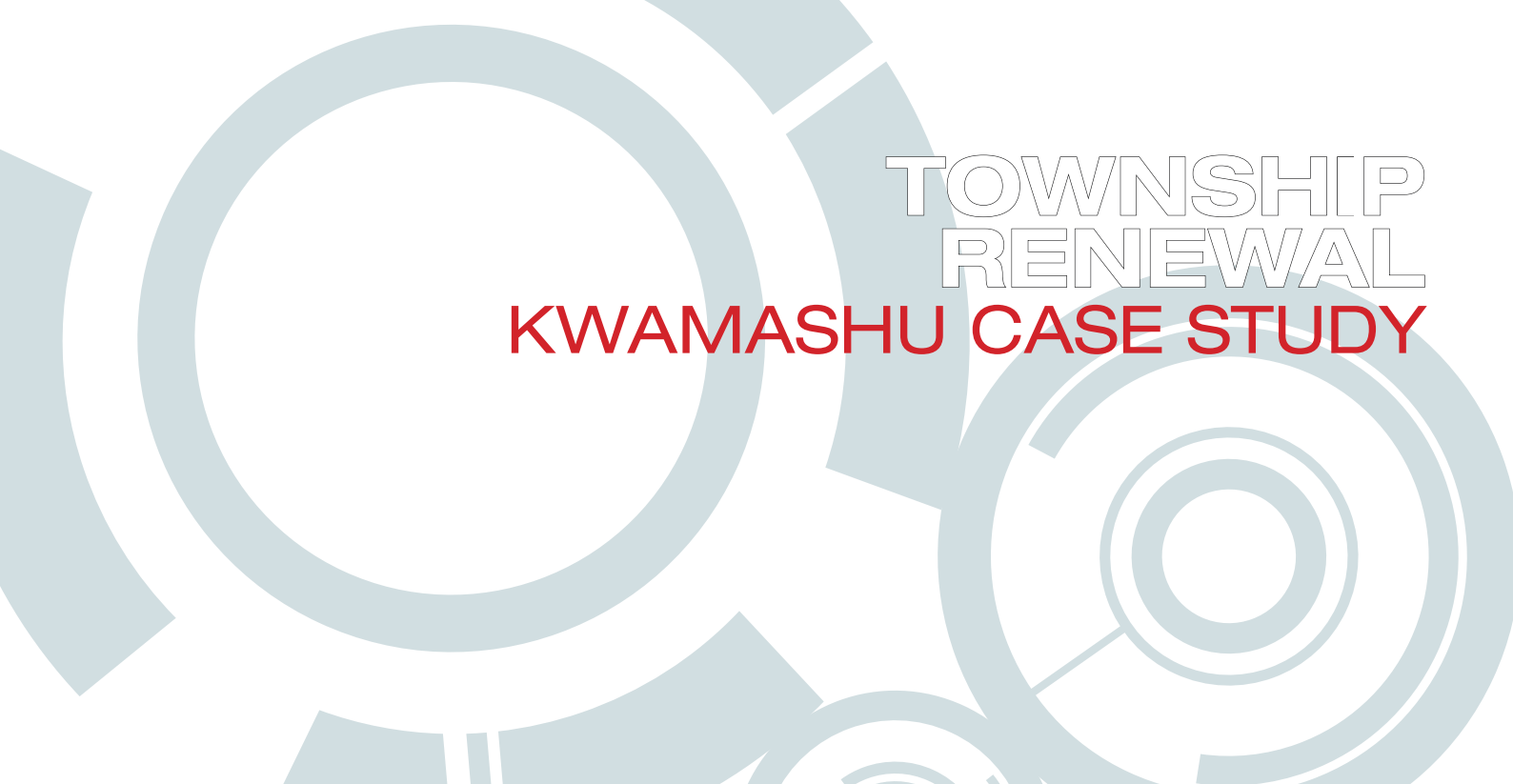


TOWNSHIP RENEWAL

KWAMASHU CASE STUDY





TOWNSHIP RENEWAL KWAMASHU CASE STUDY

ACKNOWLEDGEMENTS

This case study has relied to a great extent on first-hand knowledge and materials produced by Len Baars, Senior Manager: Projects, Economic Development Unit, eThekweni Municipality. In addition, we have made use of the National Treasury's Neighbourhood Development Programme, KwaMashu Town Centre Regeneration Project case study, currently in discussion draft form.

MOBILISING AND FOCUSING PUBLIC AND PRIVATE CAPITAL EXPENDITURE IN THE KWAMASHU TOWN CENTRE

BACKGROUND

KwaMashu is a township situated 25km north of the Durban city centre. It was established in the period 1955–1966 to house black people forcibly removed from Cato Manor. Housing consists of either standard township-style housing or informal dwellings. The present population is about 180 000. KwaMashu was located on state land that was subsequently devolved to the eThekweni municipality. It is part of the area known as INK (Inanda-Ntuzuma-KwaMashu).

ORIGINS OF THE TOWN CENTRE PROJECT

The restructuring of local government in South Africa began in the mid-1990s. A number of smaller local councils in the

greater Durban area were amalgamated into a single metropolitan municipality, and the boundaries of the city were expanded to incorporate a number of new areas. The department responsible for economic development at the time started to look for a suitable location for a focused, municipality-led intervention in the newly incorporated areas. The political violence of the 1980s had been particularly intense in the northern areas. As a result, development in those areas had been impeded, and there was a greater level of need.

Figure 1:



In 1998, a pre-planning assessment concluded that the greatest positive economic impact could be achieved by focusing on the development of one centre in the newly incorporated northern areas – namely the KwaMashu Town Centre. Key reasons included:

- It was already a busy transportation hub for train, bus and taxi commuters. This meant there were already large numbers of people in a highly accessible location.
- It had a large area of well-located, undeveloped land owned by the state that had been set aside for a town centre. This land had potential for future

Figure 2: The 1957 plan for KwaMashu town centre



Figure 3: KMTC in 1999



development at a time when there was strong private-sector interest in township investment opportunities.

- There were already a number of spontaneous trading activities clustered in the area, some of them formal. This meant that attempts to support and stimulate business stood a good chance of success.

- The community living around the town centre had relatively high income levels and there were many home-based businesses, from professional services to backyard trades. This suggested there would be a good foundation for commercial success.
- The KwaMashu Town Centre (KMTC) project began in 1999.

¹ R293 townships were proclaimed in the former homelands under Regulation 293 of 1962. They were characterised by a general plan and surveyed stands, but with lower levels of infrastructure and services than in other proclaimed towns, and with less stringently applied zoning restrictions. Residents in such townships held land in the form of deeds of grant, or leased properties from grant holders.

² The land was deemed to be owned by the eThekweni Municipality in terms of an agreement with the Department of Provincial and Local Government.

CONTEXT AT PROJECT COMMENCEMENT

Institutional context

The township administration had virtually collapsed. KwaMashu was an R293 township¹ of the former 'homeland' of KwaZulu that had been incorporated into Durban after the advent of democracy in 1994.

Planning context

Newly incorporated areas like KwaMashu fell outside city policy and strategic planning frameworks, and the administration was not functional. The eThekweni integrated development plan provided some guidance, but only at a strategic policy level. There was a lack of good information on population, property, income and socioeconomic trends.

Land context

There were some 10ha of vacant land in the town centre owned by the state and devolved to the municipality.² There was no private ownership of land – some 25 per cent of the land was held in terms of

deeds of grant, which in effect are long-term leases. The lack of private ownership provided a strong disincentive for property improvement of any kind.

Political context

There was a high level of civic organisation and participation, with a strong political component. Most ward councillors belonged to the African National Congress, making the area more politically homogenous than some other parts of KwaZulu-Natal.

Social context

The area was characterised by high unemployment and a low skills base. The longer-term consequences of the political violence of the 1980s included high levels of crime and insecurity, and the absence of any tertiary education institutions.

Business and investment context

Most of the shops in KwaMashu were destroyed in the political turbulence of the 1980s. There had been a prohibition on white capital investment in townships during the apartheid era. Apart from the Ithala Shopping Centre, there were

simply no business premises available. People engaged in economic activity on pavements, or illegally in back yards, in road reserves or on unused land. The lack of secure title to land was a disincentive to business investment – the land could not be used as collateral for a loan, and any improvements would be forfeited to the landowner at the end of the lease. Apart from some local traders' associations, there were no structures representing formal or informal business across KwaMashu, making it difficult to engage with businesspeople on proposed economic plans and development opportunities.

PROBLEM STATEMENT

KwaMashu faced a number of problems, some of them interrelated:

- The town centre planned for KwaMashu from the mid-1950s had never developed.
- There was a lack of investment, both public and private.
- Residents had to travel long distances to access facilities, goods and services.
- Public transport infrastructure was poorly developed.
- There was a lack of security, social infrastructure and recreation facilities.



- There was a high level of economic leakage – very little of the money earned by residents was spent or circulated within KwaMashu.
- The lack of businesses and support meant existing enterprises struggled to grow.
- There was no security of tenure.
- There was a lack of pride among residents in their neighbourhood.

PLANNING

A multidisciplinary consultant team was appointed to:

- Scan KwaMashu to identify economic and development opportunities.
- Research best-practice models and intervention strategies to establish whether concentrating the facilities in one node was the best strategy.
- Consult with political structures and community forums, trader associations, local businesspeople and outside investors.
- Develop plans for three areas of intervention (upgrading infrastructure; improving safety, security and social infrastructure; and supporting the growth of existing businesses and the establishment of new ones).
- Recommend whether the project should

be implemented by an agency or the municipality.

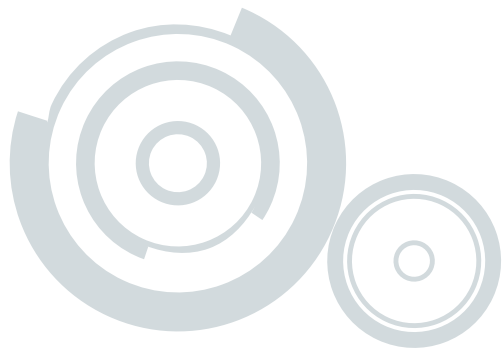
The eThekweni municipality opted to drive the project, focused on a single node implemented by a project manager and supported by line departments. The KMTC project began in 1999. Subsequent developments were the identification of INK as a Presidential Lead Project of the Urban Renewal Programme, and the establishment of the eThekweni INK Area-based Management Unit.

TARGETED OUTCOMES

There were four targeted outcomes:

- To create an enabling environment for local businesses to grow, for the resident community to prosper, and to attract outside investors.
- To transform KwaMashu into a thriving centre with its own economic drive and social vitality.
- To offer residents a quality urban living, working and recreational environment.
- To link this envisaged urban centre back to the city.

Key project objectives to achieve the targeted outcomes were: to achieve economic regeneration by creating



an environment conducive to business growth; and the provision of *security and social infrastructure* to create a safe and secure environment for residents to live, work and play in.

INTERVENTION LOGIC

Mobilising and focusing public and private-sector investment was pivotal to establish a properly functioning property market. Changing the land tenure to freehold would not have been enough to achieve this goal, but was a necessary precondition.

A nodal focus

Activities had a nodal focus – that is, they would be clustered around the point of highest accessibility to achieve maximum impact. The purpose was to bring residential, business, work, goods and services, transport, recreation and entertainment opportunities together in one place.

Obtaining and sustaining buy-in and support

Steps were taken to ensure sustained buy-in from politicians and community stakeholders. The project steering committee

is chaired by senior local councillors. At the beginning of the project, public meetings, workshops and briefing sessions were held to discuss various options. The choices made at these events were crystallised into a commonly held vision for KwaMashu. These interactions were guided by a problem-solving approach, and were intended to achieve clarity on roles, responsibilities and the process to be followed. Sustaining buy-in is dependent on visible delivery, and being willing to accommodate the interests and concerns of stakeholders, even if they go beyond the strict boundaries of what municipalities usually do.

The KMTC project team has 'gone the extra mile' to ensure good community relations, as the following example shows. The Shembe church had established an open-air temple on land in the town centre that was subsequently earmarked for a new clinic. There was no physical structure on the site – the temple was simply marked out by white stones on the ground – but the ground was sacred nonetheless. When the church elders found out about the plans for the clinic, they asked to buy the land. The KMTC project team could simply

have told the church to leave because it was occupying the land illegally and had no tenure. But in the spirit of maintaining good relations with the community, the team followed a consultative approach. The project manager requested an audience with the prophet of the Shembe, with all the appropriate ritual observances, to request him to deconsecrate the land and move the temple. The prophet agreed to move the temple if the project team helped the church to find and buy an alternative piece of land. A horticulturalist was hired to transplant sacred trees to the new site. This was the first time that the Shembe had agreed to move one of their temples. The KMTC project team was willing to accommodate the needs of this community stakeholder, and had the authority to make an undertaking that would make agreement possible. The KMTC project has been able to maintain sustained buy-in and support as a result of the high level of civic organisation participation, with strong ward councillor involvement, and the fact that most ward councillors belong to a

single political party. A Community Policing Forum is in operation and a Lot Owners' Association has been proposed.

A facilitative, open approach

The KMTC project has been guided by several underlying principles:

- An open-ended approach, guided by the question: What will have the greatest economic impact in this region?
- Planning from 'first principles' – taking the broadest possible view to contextualise the project and guide local planning.
- Being flexible with regard to layout (so that it could easily be changed to suit new demands) and zoning (to permit multiple land-uses).
- Adopting a facilitative role to take resident and investor concerns into account.

SPECIFIC INTERVENTIONS

Tenure upgrade

The old land tenure system was upgraded to make it possible to own land in KMTC. A new subdivisional layout was

introduced, combining a number of larger plots to offer a broader range of more suitably sized sites, ranging from 450m² to 1 000m². A land sales register was established to make it possible to sell and transfer ownership of land.

Figure 4: KMTC precinct plan



Creating a suitable planning framework

An application was made under the Development Facilitation Act to create a town planning layout for the town centre, zoning and development regulations, and the basis for a new general plan and the sale of land with full freehold title.³

³ The first application was granted in 2003, and two amendments were granted in 2005.



Development guidelines and precinct plans were developed for mixed-use business; mixed-use residential; sport, recreation and leisure; commercial and light industrial zones.

Infrastructure upgrade

Improved access: Mandela Road – the main access road to KwaMashu – was upgraded. Ubhejane Road was extended to link KwaMashu with Bridge City, the new regional centre 2km from KMTC. Undlondlo Road was improved to provide access to the Princess Magogo Stadium. In addition, internal service roads and pedestrian walkways were built.

Serviced land for development:

Water-borne sewerage, water, electricity and road access have been provided to develop land packages for private-sector development.

Sport, recreation and leisure: The Princess Magogo Stadium is being upgraded to become one of three 2010 soccer World Cup training venues in Durban. A sport and recreation precinct plan is in place for further development of an active

recreation area in this vicinity. Park and leisure facilities have been provided.

Improved safety and security

The new Metro Police station has established a police presence. The fact that it is a three-storey building in a prominent location has created the perception of a safer environment. Security by design principles are being used to avoid dark spots, cul de sacs and other danger spots. The buy-in of the Community Policing Forum was secured for the KMTC redevelopment, a process which assisted in reactivating the forum. The proposed Lot Owners' Association is likely to become part of the institutional arrangements for precinct management.

Social services

The provincial Department of Health is building a large new clinic in the town centre. The provincial Department of Social Welfare is considering building a new regional office and pension payout point. There is also a possibility that the national departments of Home Affairs and Labour may build new offices in KwaMashu,

reducing the need to travel long distances to access government services.

Support for business

The KMTC initiative sought to support the growth of existing businesses and to foster the establishment of new ones through targeted interventions.

Small business: Support at the small end of the business spectrum took the form of providing a range of subsidised municipal facilities, including upgrading the Station Traders' Market; redeveloping the old Mahawini Small and Medium Enterprise (SME) Hive to become a retail incubator facility; and improving and regulating street trading facilities. Steps were taken to ensure that municipal contracts allocate 20 per cent of labour and subcontracting components during construction phases to local businesses.

Medium-sized business/ mixed-use residential: Support at the medium enterprise level took the form of preparing a 6ha parcel of land for sale and subsequent development for mixed business and residential use. Opportunities included

rental business space of varying size and standard; sale of sectional title business premises; sale of complete business buildings; and share equity options. The part zoned for mixed-use business allows for buildings of up to six floors; the part zoned 'mixed-use residential' allows for up to three storeys, with business/office use on the ground floor and residential units on the upper floors.

Commercial business: The project team took steps to facilitate the establishment of a larger commercial development. The KwaMashu Shopping Centre was an early private-sector investment worth R75 million, which provided a high-quality shopping environment featuring a range of major chain stores and banks. This was a catalytic development that shifted perceptions of the area among locals and outsiders. It attracted people to the town centre, which improved the market for local small and medium-sized businesses, stimulated investment interest and created new business and job opportunities.

Small-scale manufacturing: A constraint on business development in KwaMashu





is over-reliance on retail and services in a limited market. There is also a lack of land and premises for manufacturing and skills development. The project has responded to this by planning a municipal mini-factory complex to foster small-scale manufacturing, with a focus on furniture and allied manufacturing trades (wood and steel). The Small Enterprise Development Agency (SEDA) entrepreneurial support centre in

KwaMashu provides specialised skills and business development training as well as linkages with markets.

LESSONS ABOUT PUBLIC-SECTOR INVESTMENT

Metro Police station

The eThekweni Metro Police were looking for a site for the new northern region command centre. The project team grasped this opportunity to improve safety and security by persuading the Metro Police to site the station in the KwaMashu town centre. Maximising this opportunity required locating the station on a site that would be visible from some distance, and the project team identified a strategic site owned by the municipality. Ithala donated an even better site for the police station on the corner of two of the busiest streets because its own work in KwaMashu would benefit from better security. Although attempts were made to encourage the Metro Police and the South African Police Service to share one facility, these were not successful.

In this case, the project team was successful because they were

opportunistic and persuasive. The improvement of safety and security was an important catalytic investment that stimulated the interest of other public and private investors.

Provincial 'mega-clinic'

There were three existing provincial Department of Health facilities in KwaMashu – a polyclinic and two smaller clinics. However, these were inadequate for the needs of the area, and badly in need of upgrading. When departmental officials found out that work on the town centre had commenced, they approached the KMTC project team to make available a site for a new community health centre. This is referred to as a 'mega-clinic' because it provides the services of a Level 1 hospital, excluding overnight hospital beds. The municipal site that the department wanted was zoned for a different use.

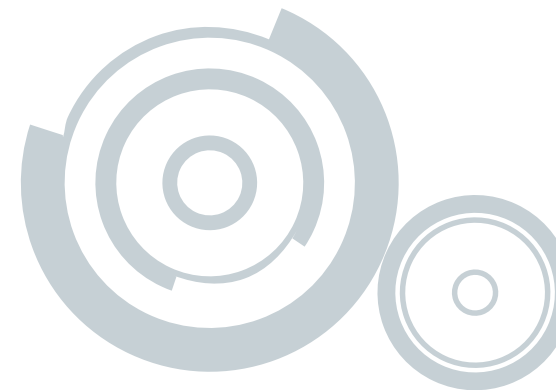
The provincial Department of Health secured national government budget approval for three new health facilities in INK as part of the Urban Renewal Programme, one of which was the

proposed mega-clinic in KwaMashu. Once approval was received, the KMTC team rezoned the land for a health facility and facilitated its sale to the provincial government. The provincial Department of Health appointed Ithala to manage the implementation of the project, which is currently under construction.

The KMTC project team decided to start implementation on the roads component of the project – to 'start putting spades in the ground' on an aspect of the plan that was unlikely to change. This stimulated the interest of the Provincial Department of Health, as well as other public and private investors. The investment was secured by an opportunistic decision to rezone the land, but only once national government approval for the construction of the mega-clinic was in place.

Other government offices

The provincial Department of Social Welfare approached the KMTC project team for land to build a new regional office and pension payout point. The team offered to sell a site to the department for this purpose, but progress has been



stalled by staff resignations and delays in the provincial land acquisition process. The time limit on mandate to sell has expired more than once. A key problem is the lack of a champion within the Social Welfare Department. There is a possibility that the national departments of Home Affairs and Labour may build new offices in KwaMashu, but neither department has made a clear decision.

The development of Bridge City as a new regional node for the whole INK area, 2km from KMTC, may reduce the ability of the KMTC project to attract government departments to the town centre. The danger is that there may be too many nodes, or that the lack of shared objectives in respect of the delivery of government services may mean that nodes compete with, instead of complementing, one another. The Bridge City project has proposed the establishment of a government services mall.

KwaMashu Shopping Centre

A scout working for a private-sector development company was looking for opportunities to establish a presence in



the former townships. The project team convinced the developer to investigate the KMTC opportunity, supported by a clear picture brochure and data about disposable income, thresholds and economic viability. The team and company representatives explored a number of parcels of land owned by the municipality. However the developers were interested in a different area that included some land parcels not owned by the municipality. The team decided to support this initiative because they saw it as a catalytic development.

A key challenge was related to land assembly – acquiring the parcels of land necessary to make up the site that the developer wanted. The developers approached the holders of the relevant deeds of grant and negotiated to ‘purchase’ the lease. There were difficulties with locating owners and establishing a price, including establishing the quantum

of rates arrears on the property. But the leases were duly purchased. The municipality sold a piece of land required to complete the parcel by private treaty to support the development.⁴

At the time the land assembly process started, there was no town planning scheme to make developments of this kind possible, and no private ownership of land was possible. In 2003, the KMTC project team launched an application under the Development Facilitation Act to put in place a town planning layout for the town centre, together with zoning and development regulations, and the basis of a new general plan and the sale of land with full freehold title. In 2005, the team launched an application for an amendment to the zoning scheme that would allow the land assembled for the KwaMashu Shopping Centre to be used for that purpose.

⁴ The Municipal Finance Management Act requires that municipal land be sold by tender, unless there are good reasons to deviate from this principle. In this case, the land could be sold by private agreement because it is expensive to develop – it contains a stream and the underlying rocks are shale – and because it was in the public interest to facilitate the development of a major shopping centre.

A tenure upgrading process was taking place at the same time to survey the land on the original town plan, consolidate certain parcels and subdivide others, and register the land in the deeds registry. This was essentially catching up on what government failed to do when it established the township in the 1950s. Once the land was properly registered in the deeds office, it was possible to have freehold ownership. Without tenure security, there would have been limited private-sector investor interest.

A key determinant of investment was safety and security. The fact that the Metro Police station was being built close to the shopping centre site was a key factor in the developer's decision to proceed. Because shopping centres generate large amounts of traffic, municipal approval partly depends on sufficient developer investment in road improvements and road safety. The planned entrance to the shopping centre was at a dip in the road. This is a road safety hazard that would, under other circumstances, have to be corrected at the developer's expense before planning approval could be

obtained to proceed. In the KwaMashu Town Centre case, this additional expense would have caused the developer to withdraw. The KMTC plan had always been to upgrade the road at a later stage at municipal expense. In view of the catalytic importance of this proposed development, the project team switched infrastructure funding allocation priorities to fill in the dip immediately as part of the upgrading of this section of Mandela Road. This secured the investment.

Property investment decisions are based on market cycles. There are good and bad times to invest. The shopping centre developer's message to the project team was that it would invest if the centre could be opened by December 2005. If that were not possible, the planned investment would be withdrawn. On the basis of firm commitments from the project team, the developer started work on the shopping centre.

The project team's attitude in this case was that it would work with the developer to ensure everything would be done to secure the complex. In parts of the city



where the land market works properly this would not have been necessary. But a key part of establishing a functioning property market is mobilising investment, and this particular investment was significant – a R75 million 11 000m² shopping centre, with substantial anticipated catalytic effects. The key points relevant to private-sector investment from this experience are:

- Being able to quickly and clearly communicate the situation to an investor.
- The importance of a flexible response to land assembly constraints.
- The importance of a predictable land legal framework.
- Flexible, adaptive and responsive planning.
- Understanding the long-term property investment cycle and responding appropriately.
- Ensuring investment in safety and security.
- Being willing to undertake road and public environment improvements at municipal expense, and providing a safe environment at the same time.

Mixed-use residential investment

The mixed-use residential investment component was intended to provide

private-sector opportunities in the 'gap' housing market. This market segment is composed of people who earn more than the income ceiling for a subsidised government house, but too little to buy into the formal housing market – defined as people earning a combined income of between R7 000 and R15 000 a month. The KMTC project team had prepared plots for freehold title, zoned the land for mixed use, provided bulk services, and handed it over to the municipality to sell by public tender. The team recommended splitting the land into smaller parcels and awarding these to a range of bidders. This would have resulted in more than one kind of housing option, and would have spread the risk. But the council decided to award the entire parcel to a single bidder. Had the land been packaged in smaller parcels, these could have been released one at a time, increasing the chances that more than one developer would be active in the market. This would also have made it possible to test market interest without risking the entire parcel.

While there was a strong interest among bidders in the housing component of the

mixed-use plan, there was little interest in the business component. The lack of interest in business property may be related to the economic downturn. If the housing and business components of the package had been packaged separately, it would have been possible to hold back the business component until the market improved. Market analysis would have been useful to guide the packaging and release of land.

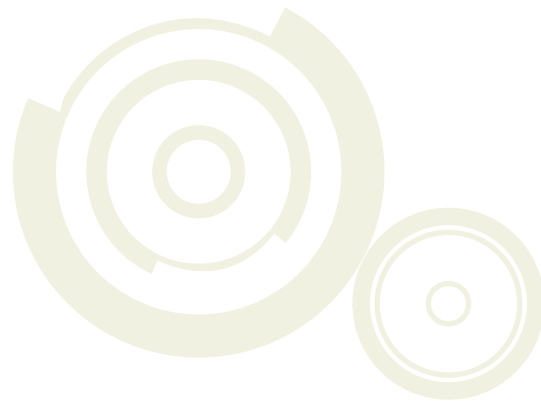
A key part of mobilising private-sector investment is trust among bidders that they stand a fair chance of being selected. A more strategic approach to packaging the land parcels would have increased the number of opportunities for developers.

Light manufacturing

It is relatively easy to achieve the economic objectives of plugging economic leakage, and creating local jobs and investment opportunities, through retail investment. However, the benefits are limited, especially considering that most of the stores in shopping centres are national chains whose head offices are located elsewhere. There is also competition

among the INK nodes to tap the retail market and a saturation point will rapidly be reached.

Manufacturing is a more effective job creator than retail, and it is more effective at countering economic leakage. Areas like KwaMashu are in essence residential, so it is unrealistic to expect significant industrial investment. But there are already a range of activities, mostly informal, in the small-scale manufacturing and service industries.



There is a strong pavement industry in, for example, manufacturing steel gates and burglar bars, and repairing exhausts, tyres, fridges, upholstery and awnings. There are many traditional healers, some who dispense their own medicines and others who give prescriptions to be filled by herbalists. A constraint on the growth of this sector is the lack of suitable business premises. One response to this has been illegally parking shipping containers on the verge for storage. Three-phase electricity is required for certain industries that currently draw electricity from local houses, with all the accompanying hazards.

The station traders' market offers a range of other activities, e.g. fruit and vegetables, live poultry, and fresh or cooked bovine heads. The market has concrete tables and a metal roof, and shipping containers are used as storage, even for live chickens. There is a lack of cold storage, electricity, drainage and washing facilities. The sewers easily become blocked because there are no grease traps.

A major upgrade of the traders' market is being done with lockup stalls that are

supplied with electricity and water. There will be a secluded place for chopping up bovine heads, linked to shops that sell the fresh and cooked meat. Electricity will make it possible to store meat in deep freezers. Conditions will be more hygienic and secure. The KMTC team planned to increase the size of the market by adding 25m² shops to cater for service industries such as hair salons, real estate agents, photographers and traditional healers. After further consultation, the team agreed to reduce the size of these shops to 15m², a size which attracts a rental of about R160 per month.

There is little private-sector interest in this sector, but it is important nonetheless, so government support is necessary. The KMTC project aims to facilitate the development of these activities by identifying light manufacturing opportunities, making municipal land and facilities available, and supporting skills development.

A rezoning and environmental impact assessment is being done on a piece of land just outside the town centre, but still in the main thoroughfare, for the

establishment of an SME business park and skills development incubator in the wood and furniture sector. A portion of that site will be released to the private developers' market. This business park will be a cluster of mini-factories with rentable premises ranging in size from 25m² to 100m². Enterprise support is available from the SEDA business support centre. The KMTC team is in negotiations about the proposed incubator with FurnTech, a Section 21 company established by major furniture industry players to support emerging businesses in the sector. This part of the KMTC project is at an early stage. The proposed incubator shows that there is some potential for matching corporate social investment needs with small business development.

RESULTS

Positive:

- Infrastructure and engineering services have been upgraded (R58 million).
- A planning framework and zoning and regulatory frameworks have been put in place.
- A number of the important road links to other economic centres, and links

Figure 5: KMTC in 1999



- to existing railway stations, have been upgraded.
- 6ha of prime housing land is ready to be sold and developed.
- A Metro Police station has been built and brought into operation (R13.5 million).
- A provincial Department of Health 'mega-clinic' is under construction (R80 million).
- A high-grade shopping centre has been built and is trading successfully (R75 million).
- Three municipality-led small, medium and micro-enterprise projects have been planned and are under way.
- Major sport and recreation facilities

Figure 6: KMTC in 2007



- have been planned and are under construction.
- The National Treasury has allocated a Neighbourhood Partnership Development Grant to the project (R62 million).
- A community court has been established at KwaMashu police station.
- A solid waste recycling centre has been established.

Uncertain:

- The mixed-use development model is still untested in the local market.
- The long-term sustainability of municipal facilities is uncertain – maintenance, management and enforcement are problematic.
- Few local traders are on an upward entrepreneurial trajectory.
- Development processes are open to political manipulation, regardless of how good the technical work may be.

LESSONS LEARNT

A number of key lessons about mobilising and focusing capital investment can be drawn from the KwaMashu Town Centre experience.

Select a good location: The KwaMashu town centre was a large, well-located tract of undeveloped land that already had large number of people passing through, and was highly accessible to train, bus and taxi commuters.

Make sure the land is owned and controlled by the implementing authority: The KwaMashu Town Centre site was owned by the state, and devolved to the eThekweni municipality.

Deal with land issues early on: The tenure arrangements in respect of vacant land the municipality intended to bring to the market were insecure (deeds of grant). These had to be upgraded to freehold to allow the land to be sold and transferred to private owners. This upgrade had the effect of stimulating investor interest and contributing to the development of a functioning property market.

Use a flexible and adaptable framework. The KMTC project team opted to use a very generic type of zoning that would allow a broad range of different activities. Although the team knew which elements

they wanted in the town centre, they avoided zoning specific parcels of land for specific purposes. Where the zoning did not permit a desirable land use, the zoning was changed.

Employ a holistic and facilitative

approach: Project managers should take a wide view of their responsibility, and be willing to deal with anything and everything that they have an influence over, even those things they did not plan to do. They must be willing to go the extra mile to deal with the concerns of residents and investors, including historical grievances.

Ensure and sustain political community

buy-in and support: This implies having done vision-building and planning with stakeholders; securing political support; working to accommodate the needs and concerns of stakeholders; and having the willingness and authority to engage with stakeholders.

Pay attention to good intergovernmental

relations: The KMTC project was a municipality-led intervention that

sought to mobilise investment within the municipality (e.g. the Metro Police station), at the provincial level (e.g. the provincial Department of Health mega-clinic), and at the national level (e.g. the National Treasury Neighbourhood Partnership Development Grant).

Devise strategic ways to package land:

Technical proposals should be backed by strategic packaging of land parcels, and market analysis to guide the packaging and release of land.

Respond to private-sector investment

requirements: This includes a flexible and responsive approach to land assembly constraints; establishing a predictable land legal framework; responding to the property investment cycle; investing in safety and security; and providing road and public environment improvements.

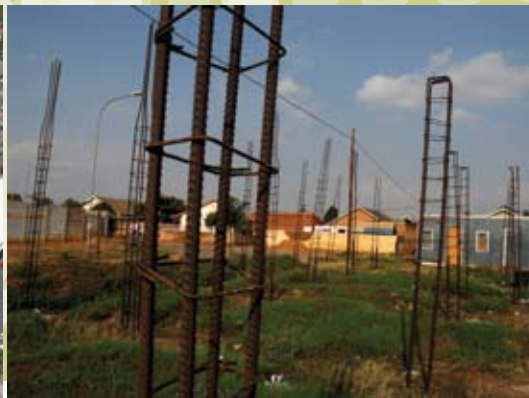
Make a start, knowing that some mistakes

will be made: The KMTC team kick-started the project by upgrading roads because they knew those components of the plan would not change. Once people saw that the work on the ground had started, they

knew the project was real, not simply plans on paper. This, and the fact that they could see the momentum being maintained by a dedicated project team, triggered the interest of the shopping mall developer and the provincial Department of Health.



TOWNSHIP RENEWAL INK CASE STUDY





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This case study has relied to a great extent on first-hand knowledge and materials produced by S'busiso Dlamini and Linda Mbonambi of the Development, Planning, Environment and Management Unit, INK Urban Renewal/ABM Programme, eThekweni Municipality. Other sources of information were various reports compiled by the CGTA (ex DPLG).

TOWNSHIP REPLANNING: THE CASE OF INK

BACKGROUND

The townships of Inanda, Ntuzuma and KwaMashu (INK) are about 25km north of the Durban city centre. The area covers 9 340ha of land, and is home to about 580 000 people (18 per cent of Durban's population) in 115 136 households.

INK has one of the largest concentrations of low-income households in South Africa. Almost 77 per cent of households earn less than R1 600 per month, only 27 per cent of residents are employed and about 43 per cent of the people do not have formal houses. INK comprises 18 wards and is managed as a single entity by the eThekweni Municipality.

ORIGINS OF THE TOWN CENTRE PROJECT

- Inanda was established in the 19th century as a 'reserve' for Africans. There was a substantial Indian population until 1936, when the area was designated for exclusive occupation by Africans. Inanda accounts for 50 per cent of INK's population.
- KwaMashu was an R293 township² of the former KwaZulu Bantustan. It was established in the period 1955–1966 to house Africans forcibly removed from Cato Manor (Umkhumbane). About a

Figure 1:



third of INK's population (32 per cent) lives in KwaMashu.

- Ntuzuma was built in the 1970s by the Durban local authority as a planned African township. It was developed incrementally, with different service levels and tenure arrangements in each section. Ntuzuma accounts for 18 per cent of INK's population. All

three of the constituent parts of INK experienced high levels of political violence during the 1980s.

The KwaMashu Town Centre (KMTC) project began in 1999.

ORIGINS OF THE INK PROJECT

In the mid-1990s a number of smaller local councils in the greater Durban area were amalgamated into a single metropolitan municipality, and the city was expanded to incorporate a number of townships. Because the political violence of the 1980s had been more intense in INK than in townships to the south of the city, it was relatively less developed. The KwaMashu Town Centre (KMTC) project began in 1999 as a node for economic development in INK.

In 2001, national government launched the flagship Urban Renewal Programme (URP) to address infrastructure deficiencies and declining economies in areas characterised by widespread poverty and neglect. INK is one of eight targeted 'poverty nodes' in former townships of South Africa's six metropolitan

municipalities. The programme is scheduled to run for 10 years, after which support for township renewal is expected to have been fully integrated into government work.¹

In 2003, the eThekweni Municipality launched the area-based management (ABM) development programme. Because municipalities tend to be organised along line functions, such as roads and electricity, departments are inclined to work in their own 'silos', disconnected from the work of other departments. The ABM programme is intended to test area-based integrated and coordinated approaches to municipal planning and delivery in five areas of the metro, one of which is INK.²

INK is therefore both a URP node and an ABM learning area. It falls under an area manager, who is accountable to the

municipal manager and the city's head of development planning and management. KMTC is one of five anchor projects within the INK urban renewal/ABM programme.

CONTEXT

Population

INK is an urban, predominantly residential area, with a population density of 6 325 people/km². About 95 per cent of residents speak Zulu as a first language. An estimated 70 per cent of the population is under the age of 35 years.

Employment and income

Only 27 per cent of residents are employed, with 40 per cent recorded as 'unemployed', and another 33 per cent as 'not economically active'. Only 8 per cent of people are self-employed. Nearly 77 per cent of residents earn less than R1 600 per month (compared to 56 per cent of people in eThekweni as a whole) and 75 per cent of area households have an income below R9 600 per year. Seventy percent of employed residents are employed outside INK. One third of INK's employed residents work in the Durban city centre.

¹ The key goals of the various URP nodes are to attract, prioritise and integrate investment/effort; mobilise local partnerships; deepen democratic participation in city life; and develop or test new approaches for subsequent broad-scale application.

² The other four are Cato Manor ABM, iTRUMP [Inner Thekweni Regeneration and Urban Management Programme], Rural ABM and South Durban Basin ABM.

Housing

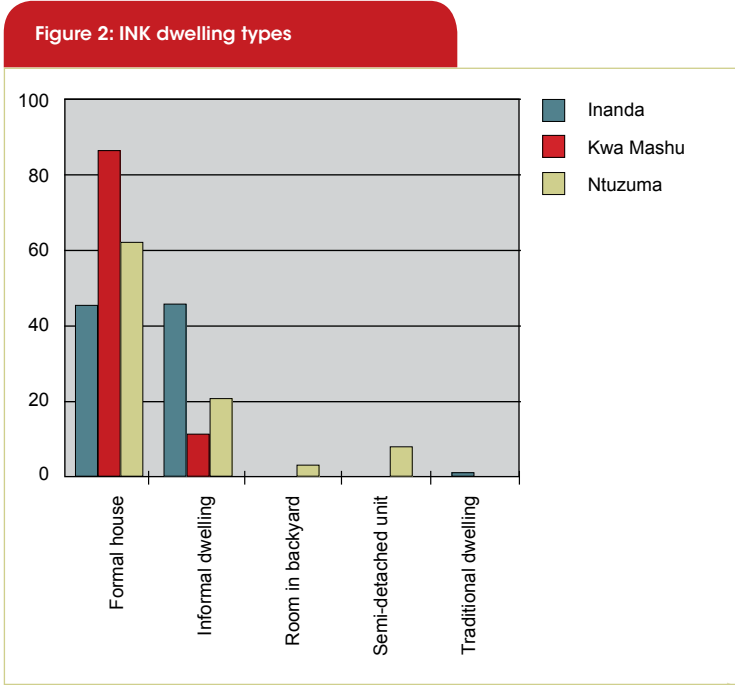
Overall, 60 per cent of INK’s housing is formal, but this is unevenly spread – 90 per cent of KwaMashu’s housing is formal and 60 per cent of Ntuzuma’s housing is formal, but only half of Inanda’s housing is formal. The terrain is hilly, and there are few tracts of open land.

Shopping patterns

Thirty-one per cent of INK’s residents shop in the Durban city centre, 26 per cent in KwaMashu town centre, and 16 per cent in Dube Village mall. The entire INK area has access to KMTC by public transport, mainly minibus taxis.

Transportation

The main transport hub is KwaMashu (bus, taxi and end-of-line rail). Road and rail links to the Durban city centre are good, but travel within INK is difficult and expensive, and it is difficult for residents to travel to the rapidly developing northern parts of the city such as Gateway and Riverhorse Valley. Seventy-seven percent of INK’s population use public transport. The breakdown by preferred mode of transport is: minibus taxis 58 per cent; buses 17 per cent; private



cars 13 per cent; walking 10 per cent; and train 2 per cent.

Basic services

Some 67 per cent of households have no telephone lines, 26 per cent are without

electricity, 30 per cent are without piped water and 2 per cent have no waste removal services.

Education

More than 12 per cent of INK’s population has had no schooling, 7 per cent have completed primary school only, 26 per cent have matric and higher qualifications, and only about 4 per cent have a tertiary qualification. There were no tertiary education facilities in INK in 2005. The lack of tertiary-level English instruction limits employment opportunities in Durban’s formal economy.

Health

There are 26 clinics and one hospital in INK. Per capita health expenditure is R179 a year, the number of patients per nurse per day is 32.4, and HIV prevalence is 39 per cent.

PROBLEM STATEMENT

At the time of project inception, INK was characterised by very high rates of unemployment, poverty and crime; low levels of formal education; a lack of adequate housing and basic services;³

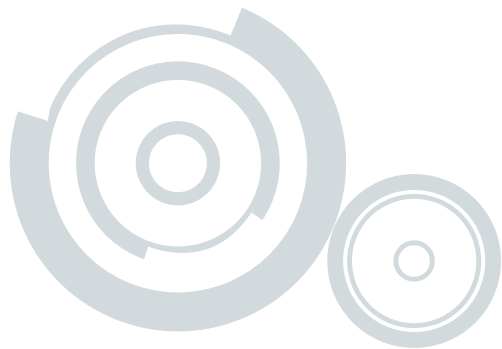
low levels of access to public services; a lack of public space and recreation opportunities; and high levels of environmental degradation and pollution.

Township-city scale problems

- In line with apartheid spatial planning, INK was placed at the periphery of the city.
- INK was fragmented and isolated. This was partly due to topographical factors – the Umgeni River Valley and hilly terrain exacerbated by an extensive ‘buffer zone’ of green space separating INK from other neighbourhoods and nodes.
- There were no high-order economic activities within or near INK.⁴ The consequence was a focus on the Durban city centre.
- There was little development at transport interchanges.
- The public transport system was fragmented and uncoordinated.



³ Factors complicating basic service provision are the hilly topography, which makes the provision of bulk infrastructure expensive and technically complicated, and the fact that some places are not densely settled, making the cost per household prohibitively expensive.
⁴ KwaMashu town centre is the biggest node within INK.



- The flow of public transport was predominantly unidirectional – from INK to the Durban city centre and back.⁵
- There was a lack of public transport links to emerging nodes in the northern part of the city, i.e. Gateway shopping centre and Riverhorse Valley business park.
- The public transport capacity that did exist was underutilised: capacity is 30 000 commuters per day, but only 15 000 make use of the system.
- There were operational problems related to safety and cost.

Intra-township level problems

- Movement by public transport within INK was difficult and expensive – it was easier to get to the city centre than to many places within INK.
- There was a limited range of economic and employment opportunities within INK. Many convenience and neighbourhood stores were destroyed in the political violence of the 1980s.

⁵ KwaMashu is an end-of the line station, and 2 per cent of commuters use rail.

⁶ One reason for this pattern is space left over after planning, e.g. where space has been left at a school site for a playing field, but the playing field has never been established or has not been maintained. Many of the housing estates built under the post-1994 government's social housing programme suffer from the same problem.

- There was little clustering of facilities and public space.
- Public spaces tended to be unsafe.
- Much of INK's formal housing coupled a low-density build form with overcrowding⁶, although there were exceptions, such as the upgrading of hostels into family units in KwaMashu.
- There was little sense of neighbourhood pride and little 'sense of place'.
- Many residents moved to Durban as soon as they could afford to do so because it provided access to better housing, employment, recreation and education opportunities – and because it was safer to live in the suburbs.

INTERVENTION LOGIC

The INK ABM/URP programme aims to integrate, coordinate and align service delivery to improve the quality of life of residents, and to enhance residents' ability to take charge of their own lives. It specifies four impact areas aligned with the URP implementation framework: integrated governance, living environment improvements, income enhancement and infrastructure investment. The infrastructure investment aims to:

- improve the delivery of community facilities;
- maintain existing infrastructure; manage informal trade;
- enhance road and pedestrian safety through physical works and education;
- address service backlogs; support crime prevention through appropriate infrastructure design;
- implement the municipal land-use management programme;
- attract investment through integrated spatial planning supported by local area plans and precinct plans;
- and develop and implement an environmental land use and transport management system.

The key planned physical infrastructure interventions to deal with the township-city scale problems listed above were:

- to integrate INK into the mainstream of Durban's economic activity, notably by providing more direct links with new high-order nodes to the north of the city.
- to improve transport networks
- to reduce the isolating effect of green buffer zones and physical barriers around INK

- to highlight INK as a place of unique interest through the establishment of the Inanda Heritage Route.

The key interventions aimed at dealing with intra-township level problems were:

- to establish a hierarchy of nodes within INK, linked by corridors to one another and to higher-order nodes to the north of the city
- to retain a mix of income groups

by providing a range of housing, recreational and employment opportunities, and by improving schools

- to improve intra-INK mobility by upgrading the road network in the area
- to make various improvements at neighbourhood/local centre level.

Five anchor projects were planned: the KwaMashu Town Centre Redevelopment Project; the P577 transport route; the Inanda Heritage Trail; the Safer Cities programme; and the Bridge City node.

Figure 3: Spatial planning tools

PUBLIC PARTICIPATION	Long-term Development Framework	CORPORATE STRATEGY / POLICY – IMPLEMENTATION TOOLS
	Integrated Development Plan	
	Spatial Development Framework	
	Spatial Development Plan	
	Local Area Plan	
	Precinct/Special Area Plans	
	Land Use Schemes	
	Corporate/Multi-sectoral strategic approach and intentions eThekweni municipal-wide	
	Strategic/Multi-sectoral planning guidance for functional regions 10 - 20 year timeframe	
	Development guidance for geographically specific districts or precincts 3 - 10 year timeframe	
	Development guidance for geographically specific districts or precincts 3 - 10 year timeframe	
	Environmental and built form guidance for geographic specific areas 1 - 5 year timeframe	

CITY-SCALE SPATIAL PLANNING CONTEXT

Plans to develop a system of nodes and corridors within INK, to eliminate buffer zones, to improve transport networks, to improve services, and to more fully integrate the area into the metro fall within a broader set of municipal spatial planning tools. A key focus area of the eThekweni municipality's integrated development plan is to implement a sustainable and integrated spatial planning system. This system targets the development of a compact city with an urban core, and the maintenance of an urban edge to curb urban sprawl, promote compaction and encourage public transport. City-wide spatial planning involves a hierarchy of plans (Figure 3).

INK falls within the urban edge as shown in Figure 4. The city has expressed a clear intention to prioritise the development of infrastructure within the urban edge, and has undertaken to maintain the edge in its current position for 5-10 years. The city has identified the R102 investment corridor on the north coast in response to private-sector development needs, with

Umhlanga as a major high-order node. It has undertaken to support a high-priority public transport network along this corridor, and to support densification to increase the viability of this network.

The eThekweni spatial development framework identifies KwaMashu Town Centre and Bridge City as secondary nodes that provide social support and opportunity for private investment. Given its status as one of five ABM areas in the city, and its proximity to Umhlanga and the northern development corridor, the further integration of INK into greater Durban is a feature of the metro's northern spatial plan. Figures 5 and 6 provide a notional idea of what future transport links through and near INK might look like.

RESULTS

Improving linkages and public transport

The P577 (a provincial road) is being extended to link INK to Pinetown and Germany in the west. In the long term, the P577 will link Pinetown with the new airport via INK. The completion of Nandi Drive means INK residents now have a more direct link with the N2, the northern part

Figure 5: Current situation - 2009



Figure 6: Possible regional links through INK



of the city centre and North Coast Road. There is no direct link with Gateway.

Internal roads have also been improved. Mandela Road, the main access road to KwaMashu, was upgraded. Ubhejane Road was extended to the Bridge City site and a bridge is being built to complete the link.

The railway is being extended to Bridge City, and a new multimodal transport interchange is being built on that site. A new taxi rank was built at Emtshebheni and a new rank is planned for Dube Village.

Establishing a hierarchy of nodes

Urban nodes are discrete centres of compact, mixed-use (residential, commercial and institutional) development which serve the surrounding areas and which are accessible by public transport links and road networks. The notion of a hierarchy of nodes is based on the idea that public investment and policy can be used to support the emergence of a small number of high-order nodes, a larger number of mid-level nodes, and a large number of neighbourhood nodes, equitably spread throughout the city. The Durban city centre is the highest order node in the metropolitan area, and secondary emerging nodes include Bridge City and Umhlanga. When the KMTC project started, it was intended to be a mid-level node which would serve the entire INK area. However, the Bridge City development is on such a scale that it is likely to become the primary node for INK. Nodes like KwaNozaza are on the neighbourhood scale.

KwaMashu Town Centre⁷

The project to develop KwaMashu Town Centre started in 1999. The location had

⁷ The KMTC project is the subject of a separate case study in this volume.

Figure 7: 1957 KMTC plan

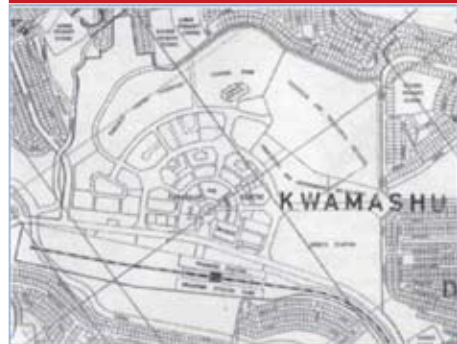


Figure 8: KMTC in 1999



two key advantages: it was already a busy transportation hub, and it had a large area of vacant undeveloped land under state ownership.

Although the KwaMashu Town Centre was included in the original 1957 plan, there was no town planning scheme in place to allow for private-sector development. Also, the land tenure system did not allow for private ownership of land.⁸

In 2003 an application was made under

the Development Facilitation Act to put in place a town planning layout for the town centre, together with zoning and development regulations, as the basis of a new general plan and the sale of land with full freehold title. A parallel tenure upgrading process was undertaken to survey the land on the original town plan, consolidate certain parcels and subdivide others, and register the land in the deeds registry so that it could be bought and sold. Development guidelines and precinct plans were developed for four zones: mixed-use business; mixed-use residential; sport, recreation and leisure; and commercial and light industrial.

Positive results include the following:

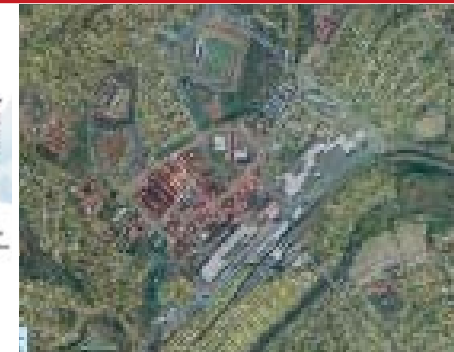
- Infrastructure and engineering services have been upgraded (R58 million).
- A planning framework and zoning and regulatory frameworks have been put in place.
- A number of important road links to other economic centres and to railway stations have been upgraded. These include the upgrading of Mandela Rd – the main

Figure 9: KMTC development plan



- access road to KwaMashu; the extension of Bhejane Rd to link KwaMashu to the Bridge City site; the upgrading of Undlondlo Rd to provide access to Princess Magogo Stadium; and the building of internal service roads and pedestrian walkways.
- 6ha of prime housing land is ready to be sold and developed.
- A metro police station has been built and brought into operation (R13.5 million).
- A community court has been established at KwaMashu police station.

Figure 10: KMTC in 2007



- A provincial department of health 'mega-clinic' is under construction (R80 million).
- A high-grade shopping centre has been built and is trading successfully, and this has catalysed a host of economic development benefits (R75 million).
- Three municipality-led small, medium and micro enterprise (SMME) projects have been planned and are under way.
- Major sport and recreation facilities have been planned and are under construction.
- A regional municipal service centre has been established.

- A solid waste recycling centre has been established.
- The National Treasury has allocated a Neighbourhood Partnership Development grant of R62 million to the project.

Areas of uncertainty are the following:

- The mixed-use development model remains untested in the local market.
- The long-term sustainability of municipal facilities is uncertain – maintenance, management and enforcement are problematic.
- Few local traders are on an upward entrepreneurial trajectory.
- Development processes are open to political manipulation, regardless of how good the technical work may be.

KMTC is INK's main economic hub and the key transport node for the area. Most formal retail activity inside INK happens here. Although 31 per cent of INK residents prefer to do their shopping in Durban city centre, KMTC follows closely behind at 26 per cent, with Dube Village attracting 16 per cent of shoppers.

⁸ Some 25 per cent of land was held in terms of deeds of grant, which are the equivalent of long-term leases.

Figure 11: Artist's impression of Bridge City



Figure 12: Bridge City precinct plan



Bridge City

Bridge City is a major public-private partnership between the eThekweni Municipality and Tongaat Hulett. It is sited on 60ha of land between Phoenix and Inanda. Bridge City is planned as a mixed-use regional centre that will, on completion, house a 40 000m² shopping centre (in the first phase); about 4 500 sectional title apartments; a 450 bed provincial hospital; a regional magistrates' court; a regional services hub; an end-of-the line railway station; a municipal intermodal transport facility (bus and

taxi); and 250 000m² of business space aimed at the commercial market as well as at SMMEs. It has been estimated that investment will total R5 billion when the project is complete in 10 years. The centre is expected to create 25 000 permanent jobs, 27 500 temporary construction jobs, and 10 400 secondary construction and services jobs.

The shopping centre and municipal bus and taxi rank are due to be opened in October 2009. Construction of the railway station is nearly complete and the railway service is expected to start in December 2011.

OTHER NODES AND CORRIDORS WITHIN INK

In addition to KwaMashu and Bridge City, a number of smaller nodes have been planned in line with the integrated INK development framework. These are: Emtshebheni; Dube Village; KwaNozaza; Lindelani; P577 and Ntuzuma Main Road; and Nandi Drive. The corridors identified for attention are Ubhejane Road (which was extended by 2km to link it to Bridge City) and the upgrading of Mandela Road (the main access road to KwaMashu).

The inception report, sector studies, development perspectives, assessment reports, development framework and urban design plans have been completed. Discussions are under way with the provincial authorities regarding the possible upgrading of the P138, and the improvement of the MR93 (KwaMashu Highway) link with the city centre.

An economic sector report by Urban-Econ suggests that a hierarchy of shopping centres will emerge (Figure 15).

Dube Village shopping centre was built as a private-sector initiative and succeeds in drawing the custom of 16 per cent of INK's residents. It is located along the KwaMashu Highway opposite the Gandhi settlement. A taxi rank is planned, and with it the possibility for increased informal trading.

Emtshebheni

Emtshebheni is located where the MR93 becomes the P138 on privately owned land. It serves as a transportation hub for areas such as Umzinyathi, Inanda Dam, and some parts of Ndwedwe. This node has the potential to develop into a town

Figure 13: INK development framework

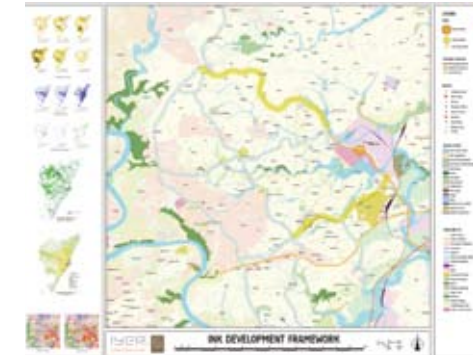
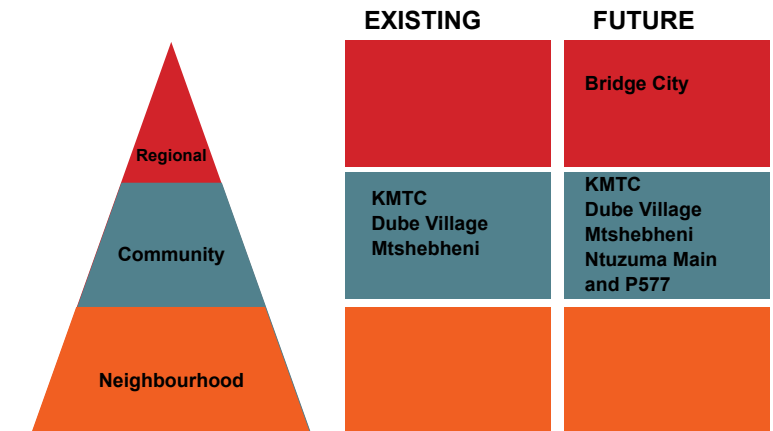


Figure 14: INK nodes and corridors



Figure 15: INK shopping centre hierarchy



DUBE VILLAGE (BHAMBHAYI)

Figure 16: Dube Village



Figure 17: Dube Village form response



centre for Inanda. A R6 million taxi rank has been built on the site in conjunction with the national and provincial transport departments. The rank includes storage facilities for informal traders.

KwaNozaza

This node is located in Ntuzuma at the centre of INK along Ithendele Road. The KwaNozaza nodal framework plan and urban design comprises four zones:

1. A commercial hub, which includes a taxi rank, a fuel service station, a works storage site, a teachers' centre and

vacant municipal land with potential for retail development.

2. An institutional hub, which includes a library, a community hall, a clinic and a church.
3. An educational hub, including schools and an FET college.
4. An office hub, which includes a school and the offices of the former township administrators, which could be used for another purpose.

Lindelani

Major roads at this node are uXamu,

Dukuza and Ntuzuma Main. The main activities in the area include Lindelani Fire Station, Lindelani Taxi Association, The old Sunflower Projects facility, informal tuck shops and a taxi rank. The area is not intensely developed and there are opportunities for further development.

P577 & Ntuzuma Main

This is an important link to Lindelani and to Durban through Newlands West. The P577 and Ntuzuma Main road intersection will come into its own once the proposed link road to Pinetown is constructed. Eventually this road is likely to run all the way from Pinetown through to the proposed Dube Trade Port and new airport.

Nandi Drive

This node is at the intersection between Nandi Drive and the P577. Nandi Drive Arterial provides a better link with the northern part of the city centre, but there is a danger that as a node it may compete with the P577 & Ntuzuma Main node.

EMTSHEBHENI

Figure 18: Emtshebheni node



Figure 19: Emtshebheni form response



KWANOZAZA

Figure 20: KwaNozaza



Figure 21: KwaNozaza form response



LINDELANI

Figure 22: Lindelani



Figure 23: Lindelani form response



Ubhejane Corridor

This 1.8km stretch of road spans the Piesangs River and links KMTC to the Bridge City site and Phoenix Industrial Park. Its importance will grow when Bridge City opens.

Malanda Corridor

Malanda Road provides access to KwaMashu town centre from Newlands via the new P577. Since its widening to facilitate the development of the shopping centre, there has been an increase in traffic along this route. There is likely to be a further increase in traffic once the P577 link to Pinetown and New Germany is completed.

P577 & NTUZUMA MAIN

Figure 24: P577 & Ntuzuma Main



Figure 25: P577 & Ntuzuma Main form response



MR 93 and P138 corridor/ Inanda Heritage Route

This corridor runs around the outer periphery of INK, linking all the routes except KMTC and KwaNozaza. It is also a tourism route referred to as Inanda Heritage route, going through Gandhi settlement through to Ohlange Institute, Inanda Seminary School and the Shembe church.

NANDI DRIVE

Figure 26: Nandi Drive

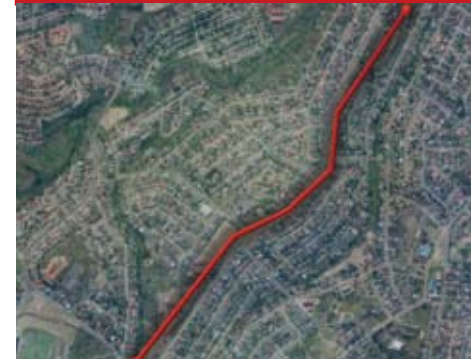


Figure 27: Nandi Drive form response



UBHEJANE CORRIDOR

Figure 28: Ubhejane Corridor



NEIGHBOURHOOD CENTRES

Neighbourhood centres are the most low-level nodes. Newtown A is one such node in Inanda. It has a small taxi rank and business area at neighbourhood scale. Many business facilities were burnt down during the violence of the 1980s. In addition, large rates arrears on many of these properties are a constraint to these businesses reopening. Work is being done to resolve the rates issue.

The following example highlights the type of challenges that may be confronted. In 2008, some youths approached the ABM office with a business idea: they wanted to start washing cars but there were no business premises available. So the INK office helped them to enter into six-year lease agreements with the owners of derelict buildings that could not be used for other purposes. Because building owners were in municipal arrears, their water supply had been cut off. Discussions with the water department are proceeding.

A number of infrastructural improvements have been introduced at local level. These include construction of sidewalks, pedestrian access projects, recreation facilities (including swimming pools) and the upgrading of existing passive green space. A rubbish removal service has been introduced for all households, with the exception of some informal settlements where the gaps between shacks are too narrow for a truck to pass through. In those cases, the municipality has provided a skip that is emptied regularly. Street lighting has been installed in many places. Poles

Figure 29: Ubhejane Corridor form response

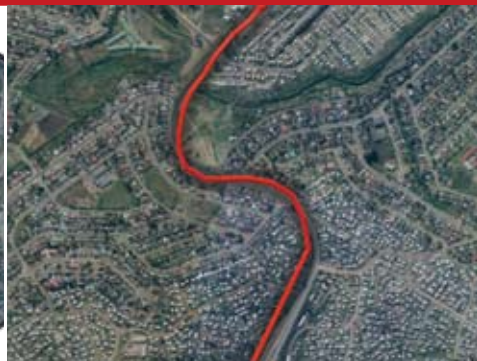


MALANDELA CORRIDOR

Figure 30: Malandela Road Phase 3



Figure 31: Malandela Road Phase 4



have been installed for a closed-circuit television monitoring system linked to the South African Police Service. The next phase is to install fibre-optic cables to link the monitoring infrastructure. Public space improvements, such as landscaping, are continuing.

National government seconded an official from the Department of Water and Environmental Affairs to the INK office to work on environmental improvement projects. Some communities have organised themselves into teams to clean up public open spaces in exchange for a public works stipend.

The Department of Communications established an information and communications technology laboratory in Inanda. There are two radio stations in INK.

Steps have been taken to encourage events to be held in local facilities. The municipality has organised events such as the SMME Fair at the John Dube Stadium. To encourage the use

of community halls, the first three hours are free.

PROVIDING A RANGE OF HOUSING OPTIONS

Apart from hostel redevelopment in KwaMashu (turning men-only hostels into family units), much of the residential development of KwaMashu and Ntuzuma consists of two and four-roomed standard township houses. Residential infill development consists substantially of freestanding 30m² subsidised housing units or freestanding developer-built middle-income housing units. There is no higher-density or mixed-use residential development.

Some significant housing projects are, however, planned or underway in the INK area. Some 7 404 units will be built over the next five years. This does not include the 4 500 upmarket housing units that are planned as part of the Bridge City development.

Steps are being taken around the various nodes to increase housing density with the introduction of multi-storey buildings,

and mixed-use business and residential developments, such as 6ha of land that was packaged for development in KMTC. About 9ha of land has been identified in KwaNozaza for mixed commercial and social housing.

LESSONS LEARNT

A number of key lessons about mobilising and focusing capital investment can be drawn from the INK experience.

Look for linkages: While project planning is important, it is also important to look for the ways in which projects are linked and how they can reinforce one another.

Deal with land issues: Because the legal situation concerning land in INK is complicated, land issues need to be investigated and addressed early to avoid later delays.

Take careful account of stakeholder interests: The complex relationship between traditional leaders, elected councillors and the Ingonyama Trust must be carefully negotiated when managing projects in the INK area.⁹ Ward committee



members and community development workers are the eyes and ears of the INK team in the community.

Clarify institutional roles and responsibilities:

Because INK is an ABM, it is accountable to the city manager, not line departments. However, nearly all of the work is done by line departments, which are responsible to line managers. 'Project sponsors' within the line departments have been found to ensure INK gets the support it needs. A joint government technical forum facilitates coordination between government agencies.

Ensure plans take physical constraints

into account: INK is a physically complex development environment because of the hilly topography, river catchments, floodplains and protected open space system. This puts limits on development and makes it necessary to consider alternatives to standard infrastructure approaches.

Link capital expenditure to social goals:

The potential for employment, skills transfer, economic growth and improvement of quality of life must be taken into account when planning capital projects.

Link small business to large business.

Small businesses may be more sustainable if they provide goods and services to larger businesses.

Pay attention to good intergovernmental relations.

The KwaMashu project was an eThekweni-led intervention that sought to mobilise investment at the local, provincial and national government levels. The municipality's ABMs have established the Enviro Forum, a meeting of operations-level managers in eThekweni who respond to INK's needs in an integrated way.

Competition, especially between larger nodes, may undermine the nodal hierarchy and threaten the establishment of a workable hierarchy of nodes in INK.

The size of Bridge City may mean that both public and private investment is drawn away from other possible locations.



⁹ Communal land that fell under the jurisdiction of the KwaZulu government was vested in the Ingonyama Trust three weeks before South Africa's first democratic elections.

TOWNSHIP RENEWAL

MITCHELLS PLAIN CASE STUDY





TOWNSHIP RENEWAL

MITCHELLS PLAIN CASE STUDY

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URBAN MANAGEMENT: THE REDEVELOPMENT OF THE MITCHELLS PLAIN TOWN CENTRE

BACKGROUND

Mitchells Plain is about 20km from the Cape Town city centre. It was built in the 1970s as a township for people classified as 'Coloured', who were forcibly removed from areas that had been declared 'whites only' under the Group Areas Act.

Mitchells Plain is a typical example of apartheid spatial planning, which relegated the residents of townships to the margins of economic activity. The area is effectively a dormitory town with a great deal of vacant, unsafe space. Along with a number of adjacent townships established for Africans, Mitchells Plain is isolated from the rest of the city. It is surrounded by geographical barriers and distant from amenities and economic opportunities.

It suffers from high levels of poverty, crime and gang violence.

At the time of the 2001 census, 305 343 people were reported to live in Mitchells Plain in 67 746 households. Most lived in houses (65 per cent), 20 per cent lived in town/cluster houses, and about 6 per cent lived in shacks in informal settlements. Afrikaans was the most common home language (50 per cent of households) followed by English (37 per cent) and Xhosa (12 per cent).

Thirty per cent of the economically active population was recorded as unemployed according to the official definition, which excludes 'discouraged' work seekers. Of those employed, 42 per cent earned less than R1 600 per month, with significant

differences by gender: 49 per cent of women earned less than R1 600 per month compared with 38 per cent of men. Nearly 30 per cent of employed people worked in sales, service and clerical posts, and nearly 20 per cent were in elementary (relatively unskilled) occupations. About 75 per cent of adults (people aged 20 years and older) had not completed matric.

ORIGINS OF THE MITCHELLS PLAIN TOWN CENTRE PROJECT

Various attempts were made to upgrade the Mitchells Plain Town Centre (MPTC) after the advent of democracy in 1994, but these were disjointed and lacked a champion to drive the process. In 2001, national government launched the Urban Renewal Programme (URP) to address

infrastructure deficiencies and declining economies in areas characterised by widespread poverty and neglect. Mitchells Plain and Khayelitsha were two of the eight targeted 'poverty nodes' selected in six metropolitan municipalities.¹ The URP is scheduled to run for 10 years, after which support for township renewal is expected to have been fully integrated into government work.²

The MPTC project, which was initially conceived as a public transport interchange upgrade, began in 2003, even before the URP got under way in Cape Town. MPTC was then the busiest taxi terminal in the Western Cape, and the third-busiest nodal interchange for rail, buses and taxis in the metropolitan area. About 75 000 people moved through the interchange during the morning and evening peaks.

The MPTC team realised that public transport activity was effectively the 'anchor tenant', and that an integrated upgrade of the 70ha town centre could be achieved by leveraging from the public transport upgrade. The first works contract was signed in 2003.

The City of Cape Town project team was composed of a project manager, the Mitchells Plain urban renewal area manager, the city's public transport and contract managers, and an engineering and construction manager.

The upgrading of the Mitchells Plain public transport interchange and redevelopment of the central business district has subsequently become an anchor project of the URP, bringing together investment from national, provincial and local government.

The URP nodes of Mitchells Plain and Khayelitsha are seen as important components of the emergence of an urban core in the metro's southeast that is connected and integrated with the rest of the city (Figures 1 and 2).

Figure 1: Linking the urban renewal nodes into greater Cape Town



¹ The eight nodes are: Alexandra (Johannesburg), Mitchells Plain and Khayelitsha (Cape Town), Inanda/Ntuzuma and KwaMashu (eThekweni Municipality, Durban), Mdantsane (Buffalo City Municipality, East London), Motherwell (Port Elizabeth) and Galeshewe (Kimberley).

² The URP aims to attract, prioritise and integrate investment/effort in these areas; mobilise local partnerships; deepen democratic participation in the life of the city; and develop or test new approaches for wider application.

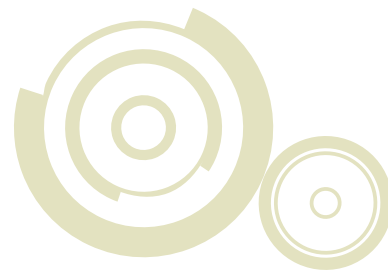


Figure 2: Urban renewal spatial development framework



PROJECT PROBLEM

When the project began in 2003, the area faced a host of problems.

Problems associated with buses

The old bus shelter, used by both buses and taxis, had become inadequate. Space was limited and inadequate turning circles restricted bus movements. The bus terminus was located on prime land in the middle of the town centre.

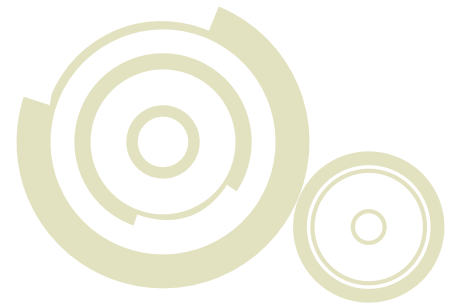
Problems associated with taxis

Twenty-four taxi associations operated

about 1 000 taxis – the largest concentration in the Western Cape. There were no formal facilities and taxi ranks sprouted in open fields surrounding the town centre. Some taxi operators used facilities intended for buses. Commuters had no shelter from the elements. There was a high level of violence in which people were injured, or even killed. Gangs collected daily protection money from taxi operators.

Problems associated with informal trading

Five trader associations represented about 1 000 informal traders in the MPTC. There was no management or regulation either by the city or the traders themselves. These associations were in constant conflict with one another. Traders congested the pedestrian walkways, traded on road medians and blocked shop windows, impeding the movement of pedestrians, law enforcement officials and emergency vehicles. The vacant land immediately adjacent to the town centre was an undesirable location for traders and an unsafe environment for shoppers, which contributed to overcrowding in the town centre.



Crime

Gangsterism, robberies and drug dealing were rife in the town centre.

Problems associated with formal businesses

Business was represented by a property owners' and merchants' association, and the retail sector was well developed. Trading densities, profits and rentals had been high for a long time and formal businesses prospered. With increasing encroachment of public space by informal traders and high crime rates, however, business was declining. Formal businesses threatened the city with a rates boycott.

Functional conflict

There was significant conflict between the movement of private vehicles, buses, taxis and pedestrians. This created social friction that led, in some cases, to violence.

MPTC's infrastructure was not designed to accommodate the number of people and the variety of activities that had developed in the town centre. Consequently, it was failing to meet the needs of commuters,



shoppers, taxi and bus operators, and formal business. This led to a high level of conflict between and within sectors, created unsafe conditions, and made law enforcement difficult. The various interest groups were not coherently organised by sector, and could not resolve their conflicts.

Problems with municipal service delivery were the result of:

- A legacy of inadequate capital expenditure.
- A historical pattern of inadequate operating expenditure to maintain existing assets.
- Lack of development facilitation to support integrated services.
- Poor urban management.
- An inability to effectively enforce the law.

Historically, the taxi industry and informal trading had been seen as problems to be kept out of sight, rather than recognised as sectors representing economic opportunity that should be provided with good working locations – and which were capable of managing themselves.

TARGETED OUTCOMES

What started out as a public transport interchange upgrade became a project to strategically use the investment made available by government and other sources to generate other spin-offs.

In addition to creating a safe, convenient, seamless environment for public transport users, the project team sought to create

a safe and pleasant environment for shoppers, to boost informal trading activity in a prime location, to provide opportunities for further retail development, and to generate opportunities for other economic development activities, such as training institutions.

However, the MPTC project team recognised that any steps to overcome the physical limitations of the town environment and exploit the inherent economic potential of the town centre would have to be preceded by the establishment of a stable platform for the articulation of community interests. The goals of such an institutional platform were to:

- Resolve conflicts within the community.
- Organise interested and affected parties so that each sector spoke with one voice through elected and accountable representatives.
- Put in place a mechanism that enabled joint planning and continuing consultation on projects.
- Move steadily away from centralised decision-making and control to localised decision-making and control.

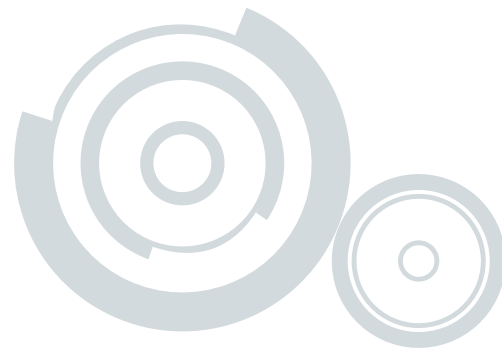
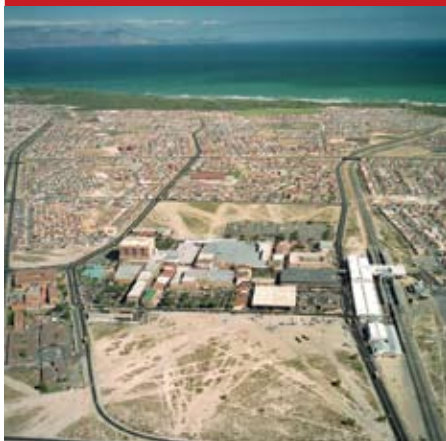


Figure 3: MPTC in 2000



- Create a community-based entity to manage and maintain MPTC assets.
- Capture locally-generated income streams from public assets for local benefit.
- Support local economic development and job creation.

Establishment of a community-based management and operating entity would enable the authorities to focus on law enforcement and providing a clearly defined set of services.

A plan steadily emerged. It included a bus terminus for 25 destinations; a taxi terminus for 20 destinations; converting the existing bus terminus to a central market square; closing off an existing road and restricting it to pedestrian use to provide seamless access between the station and the town centre; building new roads to link the interchange with arterial routes; building five signalised intersections and one signalised pedestrian crossing to ease traffic congestion; building administration buildings; improving public space through landscaping; improving security through closed circuit television cameras;

building a pedestrian bridge across the railway line; and reinforcing the existing pedestrian bridge.

The outcomes of the MPTC project are aligned with the following strategic objectives of the City of Cape Town:

- integrated human settlement
- economic growth and job creation
- access and mobility
- building strong communities
- equitable and effective service delivery
- sustainable development.

A direct spin-off of public-sector investment by national, provincial and local government in the town centre is the creation of an enabling environment that leverages private-sector investment, which in turn generates job opportunities and the reinvestment of disposable income.

INTERVENTION LOGIC

No upgrading is possible in an environment lacking a stable platform for the expression of community interests through accountable elected representatives. Similarly, effective enforcement of laws and regulations covering informal trading and taxis,

Figure 4: MPTC plan





for example, is impossible in an environment where the needs of those stakeholders have not been reasonably accommodated.

Once a stable platform for the expression and exercise of community interests

has been created, it is possible to hold meaningful consultations on what an upgrading programme might look like. Regular, open-ended and flexible consultation with the community is necessary at every stage of the process, even after construction has begun.

Targeted investment in infrastructure that facilitates informal trading is one place where the public sector is able to directly invest in local economic development.

Crucially, the locus of decision making and control must move from a centralised authority to a locally autonomous system. This is needed to build a local sense of ownership, and to effectively manage, operate and maintain public assets.

SOLUTION

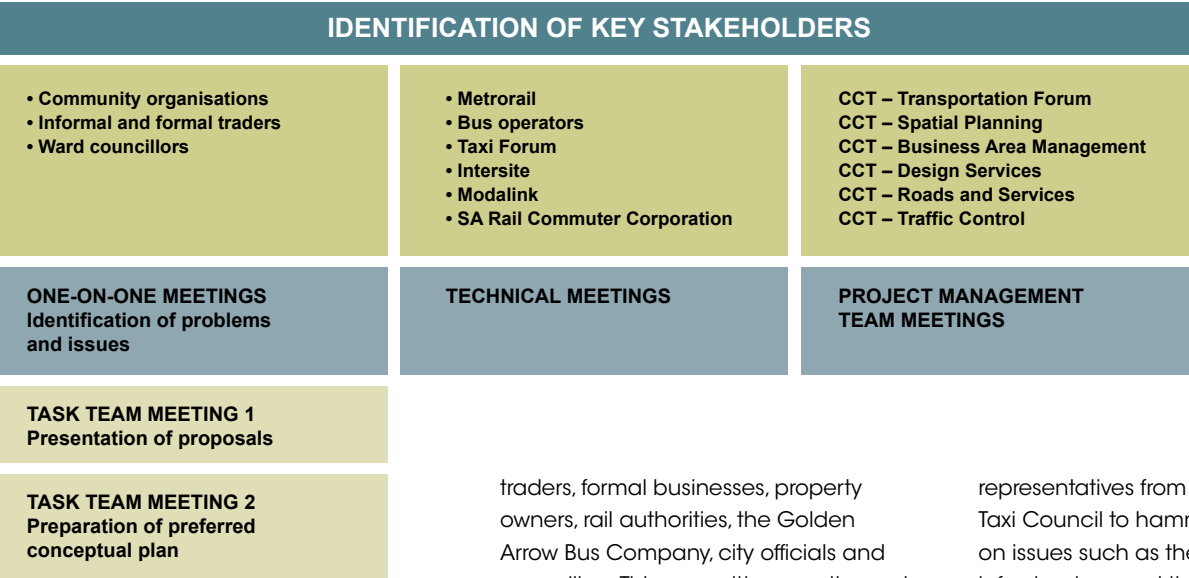
A stable entity to ensure stakeholder participation

The management partnership model developed to support urban management in the MPTC grew out of an extensive consultation process.

- A steering committee was established with representatives of taxis, informal



Figure 5: Consultation process outline



traders, formal businesses, property owners, rail authorities, the Golden Arrow Bus Company, city officials and councillors. This committee was the main structure through which the entire MPTC project was coordinated.

- An informal traders’ task team was established to build unity among various traders’ associations and agree on such issues as the design of trader infrastructure, the positioning of bays, and future management and operations.
- A taxi task team was established with

representatives from the Mitchells Plain Taxi Council to hammer out consensus on issues such as the design of taxi infrastructure and the future block management system (see Figure 7 on page 13).

- Ad hoc committees met to disseminate information about the project.
- Monthly update reports were submitted to the Mitchells Plain sub council.

The stakeholder approach is evident in the make-up of the steering committee.



The chairperson of the current committee (mid-2009) is an informal trader, the vice-chairperson is from the taxi industry, the treasurer is from the merchants' association and the secretary is from the property owners' association.

A proposed non-profit management and operations company

The establishment of a management and operations entity has been proposed by the MPTC project team to ensure the effective management of the MPTC, including the maintenance of public infrastructure. The benefits of the proposed entity would include:

- Maximising the benefit of the capital investment and ensuring its sustainability.
- Improved attention to management and maintenance in the city's operating budget.
- Better safety and security for shoppers, public transport users, informal traders and entrepreneurs.
- Increased turnover, trading density and rentals. This should lead to more commercial investment and the creation of permanent employment opportunities.



The MPTC steering committee agreed to the establishment of something similar to the city improvement district (CID) concept used successfully in other parts of Cape Town, but with a crucial difference. The CID model allows for a rates top-up levy for higher levels of council-delivered services in areas where 50 per cent plus one of ratepayers agree. Because the application of the CID model favours the interests of property owners, however, it is proposed that the 'targeted improvement district' in the envisaged Mitchells Plain management entity include representatives of all interested parties: commercial property owners/merchants; taxi operators; informal traders; the Golden Arrow Bus Company; Intersite/Metrorail/the Passenger Rail Agency of South Africa; and community representatives.

The proposed company, which is intended to be run on a non-profit basis under the direction of a decision-making board (currently the MPTC steering committee), will take charge of management, maintenance and operations. A notable feature of the proposal is the requirement that the management company ensures

local economic development and employment of local people in its operations.

The intention is that the City of Cape Town will grant the proposed entity a head lease over the public elements of the town centre, which include the informal trading areas, the bus terminal, the taxi rank, parking areas and the administration buildings. The entity would be able to sublet these facilities to generate an income that can be used to fund improved operations and management.

A parallel process will be the conventional top-up on rates, as provided for under the current city provisions for a CID. Decisions on the disbursement of funds will be balanced among the different members according to contributions and income streams.

RESULTS

As of mid-2009, the MPTC project is 75 per cent complete. This has resulted in a tremendous improvement of physical infrastructure in the town centre. Yet the most important element in overcoming



urban management problems in Mitchells Plain has been the establishment of a stable representative entity, in which competing interests can resolve their differences and hold one another accountable.

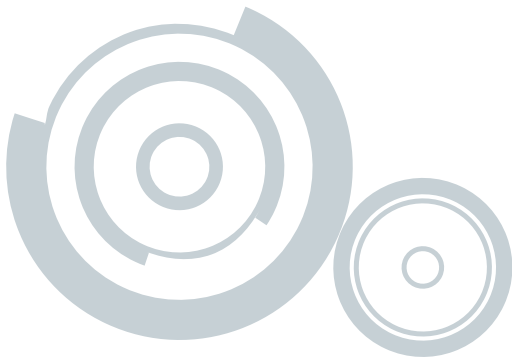


Figure 6: MPTC transport interchange



Although the establishment of a community-based entity to manage and operate the town centre was not planned at the outset, it has been the most important result of the project. A stakeholder management platform has been created, which in time will enable the community to run the town centre on its own. The members of this structure understand what is required to get the project completed and to meet the needs of their constituents.

Among other things, the forum has set up safety and security structures, and holds weekly meetings with the police. This shows the community is steadily taking control of its own interests. The stakeholder management concept took some years to sell, but is now widely supported.

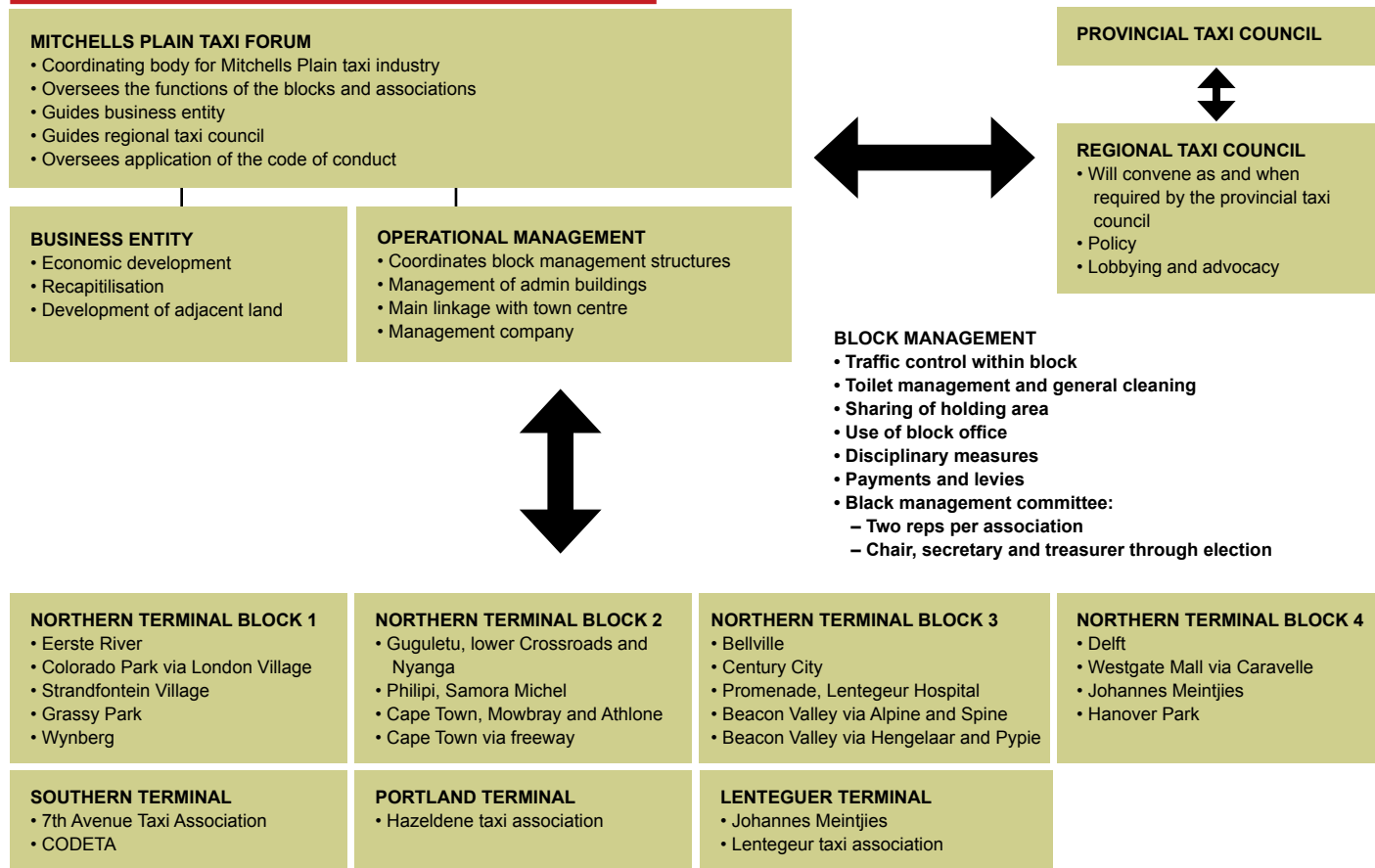
A key part of the MPTC plan was to move the public transport interchange (Figure 6) to adjacent vacant land (Figure 3) to make the prime trading area in the middle of the town centre available to traders. The management and control of the various taxi ranks is managed by the taxi associations themselves

(Figure 7). There are a wide variety of business opportunities for taxi associations in the town centre beyond the ferrying of passengers – e.g. fuel, spare parts and repair services.

The public space has been landscaped and pedestrian pathways are lined with trees, benches, bins and street lighting. A competition was held among schoolchildren to design street furniture, and the winning designs were actually built. This is the kind of initiative that supports the development of ownership and buy-in so that the community can start to see the town centre as its own. Informal traders have been part of the planning and allocation of 1 200 demarcated trading spaces in prime locations, some of which are covered. Storage space is being built.

Dynamics in the town centre are changing. Some national retail chains have moved out, making space for local tenants. There is the potential to subdivide large retail premises into smaller ones more suitable for the needs of local businesses.

Figure 7: Mitchells Plain Taxi Forum management structure





Tenders are subject to requirements for the use of local labour and enterprise. Because construction contracts are usually split between plant, material and labour, the maximum achievable local content for most tenders is about 30 per cent. Local involvement is specifically targeted and some contracts are close to the 30 per cent mark. Over the long term, this will help to create jobs and build up local skills.

LESSONS LEARNT

Build community consensus: The MPTC project underlines the importance of a stable platform for the expression of community interests through accountable elected representatives. This has required interaction with a wide variety of people in Mitchells Plain. Community dynamics constantly shift, and maintaining regular contact is essential to stay current with

developments. Building consensus with community groups enables the negotiation of what an upgrading programme might look like in broad terms. If this process is successful, community groups will provide township practitioners with the leverage they need to implement projects.

Stick with the process: Regardless of how good the relationships have been between communities and the MPTC team, there have been times when stakeholders played public officials off against one another, or spread rumours, or accused officials of corruption. Part of consensus-building is knowing when to ignore unfair community pressure. Public officials who are able to stick with the process despite difficulties gain the respect and trust of stakeholders.

Be solution-oriented: Where serious conflicts arose between key stakeholders, the MPTC team took extraordinary steps to resolve them.

Get high-level political buy-in: One critical success factor in the MPTC case was that

the project team reported directly to the Mitchells Plain sub council.

Forget about the 'perfect' plan: In a complex project such as the MPTC, it is not possible to come up with a perfect plan. At a certain point it is necessary to simply start, knowing that mistakes will be made, and that the team will have to change things in consultation with the community. The MPTC continues to evolve, and the project will only be complete once the final brick has been laid and local stakeholder management is 100 per cent established.

Be flexible enough to accommodate community needs: After construction began, the community identified needs that were not accommodated on the MPTC plan. Where these were warranted, the project team issued new instructions to the contractor. Where changes could not be accommodated within the contingency provision of the contract budget, additional money was found elsewhere. Finance officials and council committees do not mind changes to project plans, provided they are not asked



to make up any financial shortfall.

Begin legal preparation early: If an environmental impact assessment (EIA) or rezoning is required, get it done as soon as possible by walking the application through all the necessary steps. In the MPTC case, there were eight objections to the proposed redevelopment of vacant land. The project manager met with each objector and established that, in every case, the objections were based on misinformation and rumours. Once the objectors knew the facts, they withdrew their objections. Because the development could be advertised without objections, the project approval was delegated to a mandated official rather than submitted to full council for approval.

Keep evidence of changes: The MPTC team has kept a collection of photographs to demonstrate how things have changed since the project started. People tend to have short memories concerning improvements, but long memories when it comes to problems.

Remind stakeholders of agreements: In the MPTC project some traders thought

every market square would be completely covered (even though this was never in the plan) and taxi operators thought the taxi terminal would be a multi-storey building with structured parking and offices (again, this was never in the plan).

Scrupulously minute every meeting:

This is crucial. The MPTC project manager personally takes minutes in steering committee meetings to avoid later disputes.

Be willing to provide answers:

One critical success factor in the MPTC case is that officials have been willing to provide answers on behalf of the municipality or government department based on fairness, honesty and logical thinking.

Be willing to offer assistance:

Where there are no guarantees that something can be done, the project team has offered to assist communities to write a business plan and suggest possible sources of finance.





Take great care when appointing a community liaison officer: The community liaison officer is employed by the contractor to act as the link with the local community, and is responsible for procuring local resources. Because this person is in a position to influence the employment and business opportunities associated with a council contract, community groups may try to influence the appointment. The MPTC team took the decision to advertise these positions publicly in the face of community opposition. This was necessary to avoid or reduce any perception of favouritism, which would undermine the social cohesion achieved over a long period.

Build good relationships with key officials: Getting things done depends on the quality of relationships with key officials. An official under political pressure is unlikely to be supportive. Sometimes officials who lack technical competence in a particular area cover up for their lack of knowledge by putting the wrong official under pressure, making their own jobs more difficult in the long term. A key success factor in the MPTC case has been

excellent working relationships with key city officials. Another has been the willingness of officials to acknowledge when they have made mistakes rather than trying to place blame elsewhere.

Emphasise teamwork: Each member of a team should be allowed to perform to his or her strengths. Any team member may have a good idea; someone else, perhaps a community member, may have a better one. The success of the MPTC project is largely due to the teamwork approach. The project team included various officials, engineers, transport engineers, planners and an urban renewal manager. The technical expertise in the team helped team members to know when they were being criticised fairly, and when not.

Develop a wide variety of general expertise: The project manager needs to have an idea of engineering, even though he or she may not be an engineer; should know about informal trading laws; have an inkling of how urban designers think; and be willing to draft an outline for a memorandum of understanding to communicate clearly what is needed.

Constantly revisit budgets: Budgets need to be revised regularly, perhaps once a month, to cope with funding changes and cash-flow problems. Different funding streams have different dates by which the money has to be spent. The MPTC team established a three-year medium-term expenditure framework and divided the work into 12 contracts, with different sources of funding that could be used flexibly to ensure that money was available when it was needed. The presence of a contracts manager in the team to monitor funding requirements was key to success. Cash-flow problems that hinder implementation can seriously reduce project momentum.

Do not reduce the scope of work: It is essential not to reduce the scope of work under any circumstances. If necessary, more money must be found to implement the project at the original specifications. The quality of public infrastructure delivered in townships such as Mitchells Plain must be on a par with the best in the city. In fact, the quality of public infrastructure in poor neighbourhoods should be better than anywhere else, because it is used more.

